

Diploma in International Financial Reporting

Tuesday 9 December 2014

**Time allowed**

Reading and planning: 15 minutes

Writing: 3 hours

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this paper until instructed by the supervisor.

During reading and planning time only the question paper may be annotated. You must NOT write in your answer booklet until instructed by the supervisor.

This question paper must not be removed from the examination hall.

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ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha holds investments in two other entities, Beta and Gamma. The statements of profit or loss and other comprehensive income and summarised statements of changes in equity of the three entities for the year ended 30 September 2014 were as follows:

Statements of profit or loss and other comprehensive income

	Alpha \$'000	Beta \$'000	Gamma \$'000
Revenue (Note 3)	260,000	200,000	180,000
Cost of sales (Notes 1-3)	(130,000)	(110,000)	(90,000)
Gross profit	130,000	90,000	90,000
Distribution costs	(20,000)	(15,000)	(13,500)
Administrative expenses (Note 4)	(25,000)	(20,000)	(18,000)
Redundancy and reorganisation costs (Note 5)	(14,000)	Nil	Nil
Investment income (Note 6)	12,600	Nil	1,500
Finance costs (Note 7)	(26,000)	(15,000)	(12,000)
Profit before tax	57,600	40,000	48,000
Income tax expense	(14,000)	(10,000)	(12,000)
Profit for the year	43,600	30,000	36,000
Other comprehensive income:			
Items that will not be reclassified to profit or loss			
Gains on financial assets designated at fair value through other comprehensive income (Note 8)	9,000	Nil	1,400
Total comprehensive income	52,600	30,000	37,400
Summarised statements of changes in equity			
Balance on 1 October 2013	180,000	140,000	120,000
Comprehensive income for the year	52,600	30,000	37,400
Dividends paid on 31 December 2013	(30,000)	(10,000)	(14,000)
Balance on 30 September 2014	202,600	160,000	143,400

Note 1 – Alpha's investment in Beta

On 1 October 2001, Alpha acquired 75% of the equity shares of Beta. This gave Alpha control over Beta. On 1 October 2001, the net assets of Beta had a fair value of \$80 million. None of the assets and liabilities of Beta which existed on 1 October 2001 were still assets or liabilities of Beta on 30 September 2013. On 1 October 2001, Alpha measured the non-controlling interest in Beta at its fair value of \$22 million. Goodwill on consolidation of \$18 million arose on the acquisition of Beta. No impairment of goodwill on the acquisition of Beta has been necessary up to and including 30 September 2013.

Beta has four operating segments which are also cash generating units (CGUs) for the purposes of impairment reviews. On 1 October 2001, the goodwill on acquisition of Beta was allocated between these units on the following basis:

- Unit 1 – \$8 million.
- Unit 2 – \$4 million.
- Unit 3 – \$3 million.
- Unit 4 – \$3 million.

On 30 September 2014, the carrying amounts of the net assets (excluding goodwill) and recoverable amounts of the four CGUs of Beta were as follows:

	Unit 1 \$'000	Unit 2 \$'000	Unit 3 \$'000	Unit 4 \$'000	Total \$'000
Carrying amount	45,000	55,000	30,000	30,000	160,000
Recoverable amount	50,000	65,000	35,000	35,000	185,000

Any impairment of goodwill should be charged to cost of sales.

Note 2 – Alpha's investment in Gamma

On 1 February 2014, Alpha acquired 80% of the equity shares in Gamma and gained control of Gamma.

On 1 February 2014, the fair value of Gamma's property, plant and equipment exceeded the carrying amounts in the individual financial statements of Gamma as follows:

- Property **excess** \$20 million (land element of excess \$11 million). The estimated remaining useful life of the buildings element of the property at 1 February 2014 was 25 years.
- Plant and equipment **excess** \$7.2 million. The estimated remaining useful life of the plant and equipment of Gamma at 1 February 2014 was three years.

All depreciation of property, plant and equipment is charged to cost of sales.

Alpha measured the non-controlling interest in Gamma on 1 February 2014 at its fair value of \$28 million. There was no impairment of the goodwill arising on the acquisition of Gamma in the year ended 30 September 2014. The profit of Gamma for the year ended 30 September 2014 accrued evenly over the year, but see note 8 regarding the other comprehensive income of Gamma.

Note 3 – Intra-group trading

Alpha supplies a component used by both Beta and Gamma. Alpha applies a mark-up of 25% to cost when computing the intra-group selling price. All of the sales of this component by Alpha to Gamma occurred after the acquisition of Gamma on 1 February 2014. Details of the sales of the component, and the holdings of inventory of the component by group entities, are as follows:

	Beta \$'000	Gamma \$'000
Sales of the component	12,000	5,000
Inventory of component at 30 September 2014 (at cost to Beta/Gamma)	2,400	2,000
Inventory of component at 30 September 2013 (at cost to Beta/Gamma)	1,800	Nil

Note 4 – Post-employment benefits

The group makes contributions into both defined benefit and defined contribution retirement benefit plans. All the employees of Beta and Gamma are members of defined contribution plans but many of the employees of Alpha are members of a defined benefit plan. The following are relevant details regarding the defined benefit plan:

- Obligation at 30 September 2014: \$40 million (30 September 2013: \$32 million).
- Fair value of plan assets at 30 September 2014: \$34 million (30 September 2013: \$27 million).
- Current service cost for the year ended 30 September 2014: \$6 million.
- Contributions paid into the plan by Alpha in the year ended 30 September 2014: \$5.4 million.
- Benefits paid to retired members: \$2 million.
- Relevant market yield: 5% per annum throughout the period.

Alpha has charged the contributions paid into the defined benefit plan in the year ended 30 September 2014 (\$5.4 million) as an administrative expense. Alpha has made no other entries in respect of the plan in the statement of profit or loss and other comprehensive income. However, Alpha correctly accounted for the defined benefit plan in the financial statements for the year ended 30 September 2013.

Note 5 – Redundancy and reorganisation costs

Following the acquisition of Gamma on 1 February 2014, the directors of Alpha formulated a plan to reorganise the group. The plan involved some redundancies and some employees changing their roles within the group. As a result of the reorganisation, certain non-current assets of Alpha will no longer be required. The final version of the plan was agreed on 31 July 2014 and made public on 15 August 2014. The plan was implemented from 1 November 2014. The total cost of the plan will be borne by Alpha. The directors of Alpha made a provision, with a corresponding charge to profit or loss, in respect of the plan as follows:

	\$'000
Redundancy costs	10,000
Costs of training staff in new roles	5,500
Expected profit on the sale of surplus non-current assets	(1,500)
	14,000

Note 6 – Investment income

All of the investment income of Alpha, including dividends received from subsidiaries, has been correctly recognised in the individual financial statements of Alpha.

Note 7 – Bond issue

On 1 October 2013, Alpha issued 300 million \$1 bonds at par. The interest payable on the bonds is 5% per annum, payable on 30 September in arrears. The bonds are repayable at par on 30 September 2023. Alternatively, the investors have the option to convert the bonds into equity shares in Alpha on 30 September 2023.

On 1 October 2013, Alpha recognised a financial liability of \$300 million in its statement of financial position. On 30 September 2014, Alpha recognised the interest paid on that date as a finance cost in its statement of profit or loss.

On 1 October 2013, investors would have expected an annual return of 8% on non-convertible bonds. At a discount rate of 8% per annum, the present value of \$1 receivable at the end of year 10 is 46.3 cents and the present value of \$1 receivable at the end of each of years 1 to 10 is \$6.71.

Note 8 – Other comprehensive income

Both Alpha and Gamma have financial assets which are appropriately classified as fair value through other comprehensive income. On 1 February 2014, the fair value of the financial assets of Gamma had not changed from 30 September 2013.

Note 9 – Forward currency contract

On 15 August 2014, Alpha entered into a commitment to supply a large consignment of components to a foreign customer whose currency is the Kroner. The agreed value of the order was 25 million Kroner and this amount is expected to be paid by the customer on 30 November 2014. On 15 August 2014, Alpha entered into a contract to sell 25 million Kroner for \$13 million on 30 November 2014. Currency fluctuations in August and September 2014 were such that on 30 September 2014 the fair value of this currency contract was \$1.1 million (a financial liability). The draft financial statements of Alpha do not include any amounts in respect of this currency contract since it has a zero cost. Alpha wishes to use cash-flow hedge accounting whenever permitted by International Financial Reporting Standards. The directors of Alpha have estimated that the currency contract is a perfectly effective hedge of the commitment to supply the components.

Required:

- (a) Prepare the consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended at 30 September 2014. You do not need to consider the deferred tax effects of any adjustments you make. (32 marks)
- (b) Prepare the summarised consolidated statement of changes in equity of Alpha for the year ended 30 September 2014, including a column for the non-controlling interest. (8 marks)

Note: You should show all workings to the nearest \$'000.

(40 marks)

2 Delta is an entity which prepares financial statements to 30 September each year. Each year the financial statements are authorised for issue on 30 November. During the year ended 30 September 2014, the following transactions occurred:

- (a) On 1 October 2013, Delta sold a machine to a customer for a total price of \$500,000. Delta invoiced the customer for \$500,000 on 1 October 2013 and the customer made a payment of \$500,000 to Delta on 15 October 2013. The terms of sale included an arrangement that Delta would service and maintain the machine for a four-year period from 1 October 2013. Delta would normally charge an annual fee of \$37,500 for a service and maintenance arrangement of this nature.

The normal selling price of the machine without a service and maintenance arrangement was \$450,000. The saving available to the customer as a result of purchasing the machine and the service and maintenance arrangement should be allocated to the two components of the transaction in proportion to their stand-alone fair values. (9 marks)

- (b) On 1 October 2013, Delta completed the construction of a factory at a total construction cost of \$40 million. The factory was constructed on land which was being leased on an operating lease until 30 September 2053. Annual lease rentals were \$800,000, payable on 30 September in arrears. The expected useful economic life of the factory at 1 October 2013 was 40 years. Under the terms of the leasing agreement, Delta is required to dismantle the factory on 30 September 2053 and return the land to its original state. The latest estimated cost of this process, **at 30 September 2053 prices**, is \$55 million. An appropriate discount rate to use in any relevant calculations is 5% per annum. At this discount rate, the present value of \$1 receivable in 40 years is 14.2 cents. (8 marks)

- (c) On 15 May 2014, Delta was notified that a customer (Chi) was taking legal action against Delta in respect of financial losses incurred by Chi. Chi alleged that the financial losses were caused due to the supply by Delta of faulty products on 30 November 2013. Delta defended the case but considered, based on the progress of the case up to 30 September 2014, that there was a 75% probability they would have to pay damages of \$20 million to the customer. The case was ultimately settled by Delta paying damages of \$18 million to Chi on 15 November 2014. (3 marks)

Required:

Explain and show (where possible by quantifying amounts) how the three events would be accounted for in the financial statements of Delta for the year ended 30 September 2014.

Note: The mark allocation is shown against each of the three events above. You should assume that all transactions described here are material.

(20 marks)

- 3 (a) IFRS 3 – *Business Combinations* – prescribes the method of accounting to be used when an entity (the acquirer) obtains control of a business. Control is not defined in IFRS 3 but a definition is provided in IFRS 10 – *Consolidated Financial Statements*.

Required:

- (i) Define 'control' as outlined in IFRS 10. Where relevant, you should provide appropriate explanations for the terms you use in your definition. (4 marks)
- (ii) Explain the way in which goodwill on acquisition and gains on bargain purchases should be initially computed and subsequently accounted for. (5 marks)
- (b) Epsilon prepares consolidated financial statements to 30 September each year. On 1 January 2014, Epsilon acquired 75% of the equity shares of Kappa and gained control of Kappa. Kappa has 12 million equity shares in issue. Details of the purchase consideration are as follows:
- On 1 January 2014, Epsilon issued two shares for every three shares acquired in Kappa. On 1 January 2014, the market value of an equity share in Epsilon was \$6.50 and the market value of an equity share in Kappa was \$6.00.
 - On 31 December 2014, Epsilon will make a cash payment of \$7.15 million to the former shareholders of Kappa who sold their shares to Epsilon on 1 January 2014. On 1 January 2014, Epsilon would have needed to pay interest at an annual rate of 10% on borrowings.
 - On 31 December 2015, Epsilon may make a cash payment of \$30 million to the former shareholders of Kappa who sold their shares to Epsilon on 1 January 2014. This payment is contingent upon the revenues of Epsilon growing by 15% over the two-year period from 1 January 2014 to 31 December 2015. On 1 January 2014, the fair value of this contingent consideration was \$25 million. On 30 September 2014, the fair value of the contingent consideration was \$22 million.

On 1 January 2014, the carrying values of the identifiable net assets of Kappa in the books of that company totalled \$60 million. On 1 January 2014, the fair values of these net assets totalled \$70 million. The rate of deferred tax to apply to temporary differences is 20%.

During the nine months ended on 30 September 2014, Kappa had a poorer than expected operating performance. Therefore on 30 September 2014 it was necessary for Epsilon to recognise an impairment of the goodwill arising on acquisition of Kappa, amounting to 10% of its total computed value.

Required:

Compute the impairment of goodwill and explain how this impairment should be recognised in the consolidated financial statements of Epsilon. You should do this under BOTH the methods permitted by IFRS 3 for the initial computation of the non-controlling interest in Kappa at the date of acquisition.

(11 marks)

(20 marks)

- 4 You are the financial controller of Omega, a listed entity which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). The managing director, who is not an accountant, has recently been appointed. She formerly worked for Rival, one of Omega's key competitors. She has reviewed the financial statements of Omega for the year ended 30 September 2014 and has prepared a series of queries relating to those statements:

Query One

'I was very confused by the note that included financial information relating to our operating segments. This note bears very little resemblance to the equivalent note included in the financial statements of Rival. Please explain how the two notes can be so different.'

(8 marks)

Query Two

'The notes to our financial statements refer to equity settled share-based payments relating to the granting of share options. When I joined Omega, I was granted share options but I can only exercise those options if I achieve certain performance targets in my first three years as managing director. I know that other directors are also granted similar option arrangements. I don't see why they affect the financial statements when the options are granted though, because no cash is involved unless the options are exercised. Please explain to me exactly what is meant by an 'equity settled share-based payment'. Please also explain how, and when, equity settled share-based payments affect the financial statements of entities that grant them to their employees. I would like to know how such 'payments' are measured, over what period the 'payments' are recognised, and exactly what accounting entries are involved.'

(8 marks)

Query Three

'I was confused when I looked at the statement of financial position and saw that the assets and liabilities were divided up into three sections and not two. The current and non-current sections I understand but I don't understand the 'non-current assets held for sale' and 'liabilities directly associated with non-current assets held for sale' sections. Please explain the meaning and accounting treatment of a non-current asset held for sale. Please also explain how there can be liabilities directly associated with non-current assets held for sale.'

(4 marks)

Required:

Provide answers to the three queries raised by the managing director. Your answers should refer to relevant provisions of International Financial Reporting Standards

Note: The mark allocation is shown against each of the three issues above.

(20 marks)

End of Question Paper

Answers

Marks

- 1 (a) Consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 30 September 2014

	\$'000	
Revenue (W1)	563,000	1½ (W1)
Cost of sales (W2)	(288,360)	8½ (W2)
Gross profit	274,640	
Distribution costs (20,000 + 15,000 + 13,500 X 8/12)	(44,000)	½
Administrative expenses (W4)	(57,600)	1½ (W4)
Redundancy and reorganisation costs (W5)	(10,000)	1½ (W5)
Investment income (W6)	6,100	1½ (W6)
Finance costs (W7)	(53,414)	4½ (W7)
Profit before tax	115,726	
Income tax expense (14,000 + 10,000 + 8/12 X 12,000)	(32,000)	½
Profit for the year	83,726	
Other comprehensive income:		
Items that will not be reclassified to profit and loss		
Gains on financial assets designated at fair value through other comprehensive income (9,000 + 1,400)	10,400	1
Actuarial loss on defined benefit retirement benefits plan (W9)	(150)	4 (W9)
Items that may be reclassified subsequently to profit or loss:		½
Cash flow hedges	(1,100)	1
Total comprehensive income for the year	92,876	
Profit attributable to:		
Owners of Alpha (balancing figure)	72,544	½
Non-controlling interest (W10)	11,182	3 (W10)
	83,726	
Total comprehensive income attributable to:		
Owners of Alpha (balancing figure)	81,414	½
Non-controlling interest (W11)	11,462	1½ (W11)
	92,876	
		<u>32</u>

- (b) Consolidated statement of changes in equity of Alpha for the year ended 30 September 2014

	Alpha group	Non-controlling interest	Total	
	\$'000	\$'000	\$'000	
At 1 October 2013 (W12/13)	224,640 (W12)	37,000 (W13)	261,640	2½ (W12) + 1 (W13)
Increase due to acquisition		28,000	28,000	1
Equity element of bond issue (W14)	60,450		60,450	1 (W14)
Comprehensive income for the year	81,414	11,462	92,876	½ + ½
Dividends paid	(30,000)	(2,500)	(32,500)	½ + 1
At 30 September 2014	336,504	73,962	410,466	
				<u>8</u>
				<u>40</u>

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED.

Working 1 – Revenue

	\$'000	
Alpha + Beta + 8/12 X Gamma	580,000	½
Intra-group revenue (12,000 + 5,000)	(17,000)	½ + ½
	563,000	1½

Marks

Working 2 – Cost of sales

	\$'000	
Alpha + Beta + $8/12 \times \text{Gamma}$	300,000	$\frac{1}{2}$
Intra-group purchases (as W1)	(17,000)	$\frac{1}{2}$
Unrealised profit:		
Closing inventory ($25/125 \times (2,400 + 2,000)$)	880	1
Opening inventory ($25/125 \times 1,800$)	(360)	$\frac{1}{2} + \frac{1}{2}$
Impairment of Beta goodwill (W3)	3,000	$3\frac{1}{2}$
Extra depreciation on fair value adjustments:		
Property ($((20,000 - 11,000) \times \frac{1}{25} \times \frac{8}{12})$)	240	1
Plant and equipment ($7,200 \times \frac{1}{3} \times \frac{8}{12}$)	1,600	1
	<u>288,360</u>	<u>$8\frac{1}{2}$</u>

Working 3 – Impairment of Beta goodwill

	Unit 1 \$'000	Unit 2 \$'000	Unit 3 \$'000	Unit 4 \$'000	
Carrying amount (excluding goodwill)	45,000	55,000	30,000	30,000	$\frac{1}{2}$
Allocated goodwill	8,000	4,000	3,000	3,000	$\frac{1}{2}$
	<u>53,000</u>	<u>59,000</u>	<u>33,000</u>	<u>33,000</u>	
Recoverable amount	50,000	65,000	35,000	35,000	
So impairment equals	<u>3,000</u>	<u>Nil</u>	<u>Nil</u>	<u>Nil</u>	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
					<u>$3\frac{1}{2}$</u>
					$\Rightarrow \text{W2}$

Working 4 – Administrative expenses

	\$'000	
Alpha + Beta + $8/12 \times \text{Gamma}$	57,000	$\frac{1}{2}$
Contributions to defined benefit plan incorrectly charged	(5,400)	$\frac{1}{2}$
Current service cost of defined benefit plan	6,000	$\frac{1}{2}$
	<u>57,600</u>	<u>$1\frac{1}{2}$</u>

Working 5 – Redundancy and reorganisation costs

	\$'000	
Redundancy costs (valid as constructive obligation at year end)	10,000	$\frac{1}{2}$
Cost of new staff training (on-going costs cannot be included)	Nil	$\frac{1}{2}$
Expected profit on the sale of assets (cannot include)	Nil	$\frac{1}{2}$
	<u>10,000</u>	<u>$1\frac{1}{2}$</u>

Working 6 – Investment income

	\$'000	
Alpha + $8/12 \times \text{Gamma}$	13,600	$\frac{1}{2}$
Intra-group dividends eliminated:		
– Beta ($75\% \times 10,000$)	(7,500)	$\frac{1}{2}$
– Gamma (paid pre-acquisition)	Nil	$\frac{1}{2}$
	<u>6,100</u>	<u>$1\frac{1}{2}$</u>

Working 7 – Finance cost

	\$'000	
Alpha + Beta + $8/12 \times \text{Gamma}$	49,000	$\frac{1}{2}$
Reversal of interest paid on convertible loan incorrectly recognised as a finance cost ($300,000 \times 5\%$)	(15,000)	1
Correct finance cost on convertible loan (W8)	19,164	$2\frac{1}{2}$ (W8)
Interest cost on net defined benefit plan liability (W9)	250	$\frac{1}{2}$
	<u>53,414</u>	<u>$4\frac{1}{2}$</u>

Working 8 – Finance cost on convertible loan

	\$'000	
Liability element of loan (15,000 X 6.71 + 300,000 X 0.463)	239,550	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
So appropriate finance cost = 8% X 239,550	19,164	$\frac{1}{2}$
		<u>2½</u>
		⇒ W7

Working 9 – Actuarial loss on defined benefits retirement benefits plan

	Liability \$'000	Asset \$'000	Net \$'000	
Opening balance	32,000	(27,000)	5,000	$\frac{1}{2}$
Current service cost	6,000		6,000	$\frac{1}{2}$
Interest cost (5%)	1,600	(1,350)	250	1
Benefits paid	(2,000)	2,000	Nil	$\frac{1}{2}$
Contributions paid		(5,400)	(5,400)	$\frac{1}{2}$
Actuarial loss (gain) – balancing figure	2,400	(2,250)	150	$\frac{1}{2}$
Closing balance	<u>40,000</u>	<u>(34,000)</u>	<u>6,000</u>	$\frac{1}{2}$
				<u>4</u>

Working 10 – Non-controlling interest in profit

	Beta \$'000	Gamma (8/12) \$'000	Total \$'000	
Profit after tax	30,000	24,000		1
Extra depreciation – Gamma (240 + 1,600 (W2))	Nil	(1,840)		$\frac{1}{2}$
Impairment of Beta goodwill (W3)	(3,000)			$\frac{1}{2}$
Relevant profit	<u>27,000</u>	<u>22,160</u>		
Non-controlling interest (25%/20%)	<u>6,750</u>	<u>4,432</u>	<u>11,182</u>	$\frac{1}{2} + \frac{1}{2}$
				<u>3</u>

Working 11 – Non-controlling interest in total comprehensive income

	\$'000	
Non-controlling interest in profit (W10)	11,182	$\frac{1}{2}$
Non-controlling interest in Gamma's other comprehensive income (20% X 1,400)	280	$\frac{1}{2} + \frac{1}{2}$
	<u>11,462</u>	<u>1½</u>

Working 12 – Opening equity – Alpha group

	\$'000	
Alpha	180,000	$\frac{1}{2}$
Beta: 75% X (140,000 – 80,000)	45,000	$\frac{1}{2} + \frac{1}{2}$
Opening provision for unrealised profit (W2)	(360)	1
	<u>224,640</u>	<u>2½</u>

Working 13 – Opening non-controlling interest (in Beta)

	\$'000	
At date of acquisition	22,000	$\frac{1}{2}$
Increase since acquisition: 25% (140,000 – 80,000)	15,000	$\frac{1}{2}$
At start of the year	<u>37,000</u>	<u>1</u>

Working 14 – Equity element of bond issue

	\$'000	
Total proceeds	300,000	$\frac{1}{2}$
Loan element (W8)	(239,550)	$\frac{1}{2}$
So equity element equals	<u>60,450</u>	<u>1</u>

	Marks
2 (a) IAS 18 – <i>Revenue</i> – regards a transaction such as this as having two components – the supply of goods and the supply of services.	1/2
The total revenue of \$500,000 would need to be allocated between the two components and appropriate recognition criteria applied to each part.	1/2
The fair value of the supply of goods is \$450,000 and the fair value of the supply of services is \$150,000 (4 X \$37,500). The total stand-alone fair values therefore total \$600,000.	1
Revenue of \$375,000 (\$500,000 X 450,000/600,000) is allocated to the supply of goods. The balance of revenue of \$125,000 is allocated to the supply of services.	1 + 1/2
On 1 October 2013, Delta would recognise revenue from the supply of goods of \$375,000.	1/2
On the same date Delta would recognise a receivable of \$500,000.	1/2
The balance of \$125,000 would initially be recognised as deferred income.	1/2
On 15 October 2013, the receivable of \$500,000 would be de-recognised when the payment was received from the customer.	1/2
In the year ended 30 September 2014, service revenue of \$31,250 (\$125,000 X 1/4) can be recognised.	1
The closing balance of deferred income on 30 September 2014 will be \$93,750 (\$125,000 – \$31,250).	1/2
\$31,250 of this balance will be shown as a current liability as this refers to service revenue to be recognised in the year ended 30 September 2015.	1
The balance of deferred income of \$62,500 (\$125,000 – \$31,250 – \$31,250) would be shown as a non-current liability.	1
	9

Summary of reported amounts (for tutorial purposes)

- *Revenue from the supply of goods* – \$375,000.
- *Revenue from the provision of services* – \$31,250.
- *Cash balance* – \$500,000.
- *Deferred income in non-current liabilities* – \$62,500.
- *Deferred income in current liabilities* – \$31,250.

(b) No asset is recognised in respect of the land as it is being leased under an operating lease.	1/2
A rental expense of \$800,000 on the land is charged to profit or loss in the statement of profit or loss for the year ended 30 September 2014.	1/2
The construction cost of \$40 million is shown in property, plant and equipment (PPE) from 1 October 2013.	1/2
On 1 October 2013, the obligation to dismantle the factory and restore the land is a present obligation arising out of a past event. Therefore it should be recognised as a provision.	1/2
The initial carrying value of the provision is its discounted present value of \$7.81 million (\$55 million X 0.142).	1
The debit entry for this provision is to PPE as the relevant expenditure provides access to future economic benefits.	1/2
Therefore the carrying value of PPE at 1 October 2013 is \$47.81 million (\$40 million + \$7.81 million).	1/2
In the year ended 30 September 2014, Delta would charge depreciation of \$1,195,250 (\$47.81 million X 1/40).	1/2
The carrying value of PPE at 30 September 2014 (to be shown under non-current assets) would be \$46,614,750 (\$47.81 million – \$1,195,250).	1/2 + 1/2
As the date for the dismantling approaches, the discount unwinds. The unwinding is shown as a finance cost.	1/2
The finance cost for the year ended 30 September 2014 is \$390,500 (\$7.81 million X 5%).	1/2
This is added to the opening provision to give a closing provision of \$8,200,500 (\$7.81 million + \$390,500).	1/2 + 1/2

The closing provision is shown as a non-current liability.

Marks

$\frac{1}{2}$

8

Summary of reported amounts (for tutorial purposes)

- Rental expense – \$800,000.
- Depreciation – \$1,195,250.
- Finance cost – \$390,500.
- Provision in non-current liabilities – \$8,200,500.

- (c) The potential payment of damages to Chi is an **obligation arising out of a past event** which can be reliably estimated. Therefore, following IAS 37 – *Provisions, Contingent Liabilities and Contingent Assets* – a provision **is** required.

$\frac{1}{2} + \frac{1}{2}$

The provision should be for the **best estimate** of the expenditure required to settle the obligation at 30 September 2014.

$\frac{1}{2}$

Under the principles of IAS 10 – *Events After the Reporting Period* – evidence of the settlement amount is an adjusting event.

$\frac{1}{2}$

Therefore at 30 September 2014 a provision of **\$18 million** should be recognised as a **current liability**.

$\frac{1}{2} + \frac{1}{2}$

3

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- 3 (a) (i) IFRS 10 defines control as **exposure, or rights to variable returns** from the acquired business and the ability to **affect** those returns through its **power** over the acquired business.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

To have power, the acquirer must have **existing rights** which give it the current ability to direct the '**relevant activities**' of the acquired business.

$\frac{1}{2} + \frac{1}{2}$

The 'relevant activities' of a business are activities which **significantly affect** the **returns** of the business. Where two or more investors have the ability to direct relevant activities, control is exercised by the investor who directs the activities which **most significantly** affect the returns to the acquired business.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

4

Note: Exact wordings NOT required for marks.

- (ii) Goodwill on acquisition is measured as the excess of the sum of the **fair value** of the **consideration transferred** in exchange for control of the acquired business, plus the **initial carrying value** of any **non-controlling interest** in the acquired business less the fair values of the **net assets** of the acquired business on the acquisition date.

$\frac{1}{2} +$

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Goodwill is **not amortised** but must be tested **annually for impairment** in accordance with IAS 36 – *Impairment of Assets*. Unimpaired goodwill is shown under **non-current assets**.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

In the case of a bargain purchase (where 'goodwill is negative'), the acquirer should, **after ensuring that it has been appropriately measured**, recognise an **immediate gain** in profit or loss at the acquisition date.

$\frac{1}{2} + \frac{1}{2}$

5

			Marks
(b) Computation of goodwill impairment			
	NCI at fair value \$'000	NCI at % of net assets \$'000	$\frac{1}{2} + \frac{1}{2}$
Cost of investment			
Share exchange (12 million X 75% X $\frac{2}{3}$ X \$6.50)	39,000	39,000	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Deferred consideration (7.15 million/1.10)	6,500	6,500	1
Contingent consideration	25,000	25,000	1
Non-controlling interest at date of acquisition:			
Fair value – 3 million X \$6.00	18,000		1
% of net assets – 68,000 (working) X 25%		17,000	1
Net assets at date of acquisition (Working)	(68,000)	(68,000)	2 (working)
Goodwill on acquisition	<u>20,500</u>	<u>19,500</u>	
Impairment – 10%	<u>2,050</u>	<u>1,950</u>	$\frac{1}{2} + \frac{1}{2}$
Where the NCI is measured at fair value, the impairment should be attributed partly to retained earnings (\$153,750) and partly to NCI (\$51,250). The allocation is normally based on the group structure (75/25 in this case).			1
Where the NCI is measured at % of net assets, the impairment should be attributed wholly to retained earnings.			$\frac{1}{2}$
			<u>11</u>
			<u>20</u>

Working – Net assets at date of acquisition

	\$'000	
Fair value at acquisition date	70,000	$\frac{1}{2}$
Deferred tax on fair value adjustments (20% (70,000 – 60,000))	<u>(2,000)</u>	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
	<u>68,000</u>	<u>2</u>

4 Query One

It is true that there is an International Financial Reporting Standard (IFRS) which deals with operating segments and lays down the content of segmental reports (**concept**). The relevant standard is IFRS 8 – *Operating Segments*.

$\frac{1}{2}$

However, differences between the segment reports of organisations will arise from how segments are identified and what exactly is reported for each segment (**concept**).

$\frac{1}{2} + \frac{1}{2}$

IFRS 8 defines an operating segment as a component of an entity which engages in **revenue earning** activities and whose results are regularly reviewed by the **chief operating decision maker (CODM)**.

$\frac{1}{2} + \frac{1}{2}$

The CODM is the **individual, or group of individuals**, who makes decisions about **segment performance** and **resource allocation**.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

This definition means that the operating segments of apparently similar organisations could be identified very differently, with a consequential impact on the nature of the report.

$\frac{1}{2}$

As stated above, differences also arise due to the reporting requirements for each segment. IFRS 8 requires that '**a measure**' of **profit or loss** is reported for each segment. However, the **measurement of revenues and expenses which are used in determining profit or loss is based on the principles used in the information the CODM sees**. This is so, **even if these principles do not correspond with IFRS**. This could **clearly cause differences** between reports from apparently similar organisations.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Additionally, IFRS 8 requires a measure of total **assets** and **liabilities** by operating segment if the **CODM sees this information**. Since **some CODMs may see this information and some may not**, this could once again cause differences between the reports of apparently similar organisations.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

8

Query Two

An equity settled share-based payment transaction is one in which an entity receives goods or services in exchange for a right over its equity instruments.

$\frac{1}{2}$

Marks

Where the payments involve the granting of share options, IFRS 2 – *Share-based Payment* – requires that the payments are measured at the **fair value** of the options at the **grant date**. No change is made to this measurement when the fair value **changes after the grant date**.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Unless the entity has traded options which have exactly the same terms and conditions as those granted to employees (unlikely), then fair value is estimated using an option pricing model.

$\frac{1}{2}$

The first step in accounting for such payments is to estimate the total expected cost of the share-based payment.

$\frac{1}{2}$

This estimate takes account of any **conditions** attaching to the options vesting (**the employees becoming unconditionally entitled to exercise them**) other than **market** conditions (those based on the future share price, which are taken account of in estimating the fair value of the option at the grant date).

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

The total expected cost is recognised in the financial statements over the vesting period (i.e. the period from the grant date to the vesting date).

$\frac{1}{2}$

In the case of options granted to employees, the debit entry would be recorded as **remuneration expense**. Normally this would mean the debit entry being shown in the statement of **profit or loss** but in theory the debit entry could be an asset depending on the work of the employee involved.

$\frac{1}{2} + \frac{1}{2}$

The credit entry is taken to **equity**. IFRS 2 is **silent** as to which component of equity this should be – normally it would be to an option reserve.

$\frac{1}{2} + \frac{1}{2}$

The above treatment is **unaffected** by whether or not employees subsequently exercise vested options. **If they do**, then the entity debits cash and credits equity with the cash proceeds.

$\frac{1}{2} + \frac{1}{2}$

8

Query Three

A non-current asset is classified as held for sale when its carrying amount will be recovered principally through a sale transaction, rather than through continuing use.

1

Such assets are measured at the lower of their **carrying amount** and **fair value less costs to sell**. Any write downs arising out of this process are treated as **impairment losses**.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

The 'held for sale' definition can apply to **groups of assets** as well as single assets where the group of assets is to be sold as a **single unit**. It is in situations **such as this** that liabilities associated with such groups of assets are separately identified.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

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